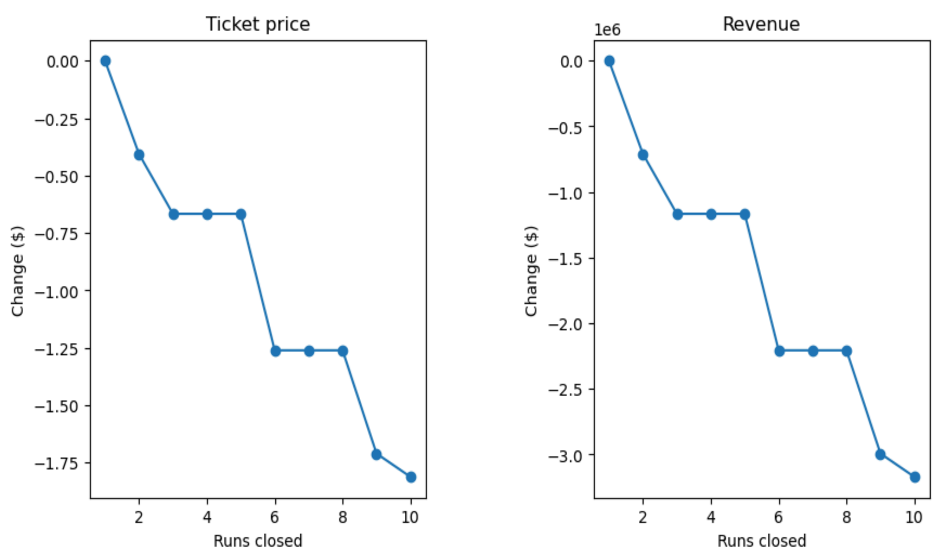
This report evaluates pricing opportunities and operational improvement scenarios for Big Mountain using model-supported projections and operational strategy analysis.

Current ticket pricing is set with an average ticket price of $81, while the predicative market model estimates the resort could support pricing closer to $95.87 under favorable market conditions. However, the projected support price shouldn't be interpreted as a guaranteed optimal price point. This modeled support price should be treated as an indicative ceiling rather than a guaranteed target, as the model carries an estimated mean absolute error of ~$10. Actual market response could vary significantly depending on customer behavior, seasonality, competitor pricing, weather conditions, and broader economic factors. As a result, pricing adjustments should be approached cautiously and combined with additional market research, competitor benchmarking, customer demand analysis, and operational and infrastructure cost analysis. Incremental pricing experiments or seasonal pricing adjustments may provide safer opportunities to validate the model's recommendations before implementing large-scale changes.

If Big Mountain considers reducing operational costs through selective run closures, a staged or pilot-based implementation strategy is recommended over immediate permanent closures. I recommend conducting trial periods involving seasonal or weekday closures of low-usage runs, monitoring customer satisfaction through the pilot periods, and evaluating secondary performance metrics such as visitor retention or overall guest experience ratings. If pilot testing shows no material negative impact on customer satisfaction or resort revenue, then the closure strategy can be scaled gradually.

Closing 2-3 runs will likely result in reducing support for ticket price and revenue, while closing 4-5 runs has seemingly little to no impact on changes in support for ticket price. I would not recommend closing more than 5 runs as previously modeled results indicated it would lead to a drastic drop in revenue. This approach will minimize operational risk while allowing management to validate cost-saving assumptions using real-world data.




We went through 4 possible scenarios for further consideration. Scenario 1 proposed closing existed runs, which I have previously covered. Scenario 2 proposes adding an additional run, increasing vertical drop by 150 feet, and installing another chairlift. Scenario 3 proposes doing Scenario 2 and adding 2 acres of snowmaking coverage. Scenario 4 proposes extending the resort's longest run by 0.2 miles and adding 4 acres of snowmaking coverage.

Based on current modeling and scenario analysis, Big Mountain should prioritize Scenario 2 for further consideration. It demonstrates measurable projected benefits while maintaining a more favorable balance between operational investment and expected returns. Based on our results, Scenario 3 had the same returns as Scenario 2 while spending more while Scenario 4's results provided no measurable uplift on price. However, all modeled projections should be treated with appropriate caution due to uncertainty and potential variability in real-world customer behavior. All future recommendations should incorporate both projected uplift and operational-cost analysis to ensure financially sustainable decision-making.

To improve future modeling accuracy and support stronger operational decision-making, Big Mountain should prioritize additional data collection initiatives in the short term. Recommended areas of focus include:

- Operational Cost Tracking - Improve visibility into operational expenses by collecting detailed cost data related to lift maintenance, staffing requirements, energy consumption, snowmaking operations, and equipment maintenance
- Customer Demand Elasticity - Develop elasticity models segmented by customer type to better understand how different visitor groups respond to price changes. Potential customer segments may include weekend visitors, tourists, season pass holders, or local residents
- Granular Run Usage Metrics - Collet more detailed usage data for individual runs and resort areas to improve model fidelity and support stronger casual analysis. Improved operational data collection will strengthen future forecasting accuracy and support more confident strategic planning decisions